A study conducted by the Niti Aayog, along with Rocky Mountain Institute (USA), says that by India adopting more of electric and hybrid vehicles, it can save up to US$ 60 billion (per year) in fossil fuel costs by the year 2030 and cut down on carbon emissions by 1 giga tonne between 2017 - 2030. Therefore, looking at the opportunities ahead, a framework is being worked upon which can drive this growth and move the country towards sustainable mobility options. If all goes as planned, this policy should be out in the public domain on or before the next fiscal year. Of course, for the plans to succeed, state governments will need to play an active role in creating the right environment for FAME. That's the reason why a central body is being created to work directly with the states, and collaborate to create the frameworks that will lead to success. The approach would be to create nodal bodies across cities, based on the population and demographics, which will work with a central agency and create channels of communication with the masses, in order to make them understand the value and benefits of adopting EVs.

What are the automobile companies doing?

In light of the increasing consumption of fossil fuels and the rise in global CO_2 emissions, sustainable mobility has assumed greater importance in recent years, and research dollars are being spent to understand how the transportation sector can help mitigate the looming crisis. Faster adoption of EV and hybrid vehicles is a clear necessity since the transport sector is the second largest emitter of CO_2 globally and the highest in India (refer to Figure 1). Therefore, governments, climate change activists and industry bodies are all suggesting a move towards alternate and greener technologies.

Global brands like Tesla, Suzuki and Honda, as well as Indian auto multinationals like M&M are increasingly aware of the huge opportunities in this new field. And India could prove to be the ideal location to set up a manufacturing base. True, Maruti Suzuki's stronghold on the Indian market might deter some, and the concerns raised by some global brands like General Motors and Skoda regarding Indian consumption, might lead potential entrants to question whether India is the right market. I am certain that the EV space offers global auto giants the ideal entry point to enter the Indian market and carve a niche for themselves. This is because of the promise it holds and the policies that are being drafted to promote growth. Some trends in this direction are heartening. Tesla Motors, the world's most successful electric car manufacturer, is planning an Indian entry with its upcoming sedan that is expected to be priced between ₹1.8 – 2.4 million (₹18 – 24 lakh) which is half the price of what other companies are charging for such sedans in India. The company is also working on budget editions of other models as a part of its strategy to lure India's growing middle class, while being aware of its actual spending power.

M&M, one of the pioneers in the Indian EV segment, is currently working on making the cheapest electric SUV in the world, and it has been christened S 107. It's an electric version of the now famous KUV that's already in the market. In addition, it is also ramping up production of the Verito Electric model to reach